

Project Identification and Initiation

DrōnTeq is a fictitious technology company that develops numerous unmanned aerial vehicles, called drones, and drone technology for many purposes. DrōnTeq was established by two technology entrepreneurs, Eric Chen and Peter Lyons. The field of drone technology was evolving rapidly, and Eric and Peter quickly established DrōnTeq as a leading maker of commercial-grade drones with advanced sensors and imaging capabilities.

As a technology company, DrōnTeq invests heavily in research and development of its drone products. It also developed proprietary software capable of providing unique analyses of the data collected by the drone's onboard sensors. The Sales department focuses primarily on drone sales and marketing to government and commercial entities. A new Client Services business unit has been formed within DrōnTeq, focusing on outsourced drone services. Carmella Herrera was named director of the Client Services business unit.

Project Background

DrōnTeq is a technology company and utilizes IS in a variety of ways. The new Client Services unit requires specialized IS support, however, to allow clients to request and receive drone services. In the business model of new business unit, licensed drone pilots contract with DrōnTeq to fly a DrōnTeq drone when requested by a client that is near the drone pilot. The drone pilot uses a current model DrōnTeq drone, provided at a favorable lease rate, in return for providing prompt flight service when requested by a client. All client drone flight requests will be processed through DrōnTeq's website. Once a request is received, the request will be posted for all contracted drone pilots to see. Pilots will have a specific window of time in which to submit a bid to conduct the flight. An assignment algorithm will determine the "winning" bid after the bidding window closes and automatically notifies the pilots and the client of the results.

Many aspects of the Client Services business unit will require IS support, but the current focus is on the customer-facing aspects of receiving a client request for service and assigning the request to a contracted drone pilot. A project to create the required support for the new business unit has been proposed by Carmella Herrera.

System Request

At DrōnTeq, new IS projects are reviewed and approved by an IS project steering committee that meets quarterly. The committee has representatives from IS as well as from other major areas of the business. Carmella's first step was to prepare a system request for the committee. [Figure 1-5](#) shows the system request she prepared. The project sponsor is Carmella, and the business needs are to enable clients to request drone flight service and data analysis through the company website. Notice that the need does not focus on the technology associated with the project. The emphasis is on the business aspects: providing the means for clients to request drone flight service and data analysis and determining a drone pilot who will perform the service.

System Request—Client Services Project

Project Sponsor: Carmella Herrera, General Manager, Client Services Business Unit

Business Need: This project has been initiated to create the capability of clients requesting drone flight service and data analysis through the company website. The capability is an essential element in the business model of the newly formed Client Services business unit.

Business Requirements: Using this system from our company website, clients will be able to request specific drone flight services and data analysis. A request will be offered to any contracted DrōnTeq drone pilots in the vicinity, who can submit bids during the bidding window. Once the bidding window closes, the pilot with the “winning” bid will be assigned the request.

Business Value: The Client Services business unit has been formed to enable clients who do not have a need for actual drone ownership to receive drone flight service and data analysis promptly and cost effectively. As a new business unit, we must estimate additional revenue from two streams: additional drone pilots who contract with DrōnTeq and lease a drone; and clients who contract for specific drone flight service and data analysis.

Conservative estimates of tangible value to the business unit include

- \$357,500 in revenue from new pilot contracts and drone leases
- \$565,000 in revenue from drone flight service and data analysis

Special Issues or Constraints: The capabilities described in the Business Requirements are essential to the business model for the Client Services Business Unit. This project is necessary for the new business unit’s operations.

In the system request, the project sponsor focuses on describing his or her vision of the business requirements at a very high level. Carmella has expressed a clear vision of how this system will affect the new unit at DrōnTeq: producing revenues from new drone pilot contracts and drone leases and enabling sales from clients requesting drone flight service and data analysis. Carmella recognized that this system will be essential in supporting the proposed business model of the new business unit.

Steering Committee Approval

Carmella presented the system request for the Client Services project to the DrōnTeq IS project steering committee at its next meeting. Response to the request was uniformly positive. The strong support for the project by Eric and Peter, the company’s top executives, helped to spur the committee’s rapid approval of the project. Following approval of the system request, Jiang Tsiao, a senior systems analyst in the IS department, was assigned to work with Carmella to develop a preliminary feasibility analysis for the project.